

Watching India's insolvency reforms: a new dataset of insolvency cases

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1 Introduction

The legal framework for insolvency resolution in India underwent a structural change when the **Insolvency and Bankruptcy Code (IBC)** was passed in May 2016. This single law is an overhaul of the insolvency and bankruptcy regime in India, replacing all laws relating to bankruptcy, some from as far back as 1924 (Bankruptcy Law Reforms Committee **2015**). Once the provisions relating to corporate insolvency and bankruptcy were notified (November 2016), the first cases of insolvency started being admitted in the courts (December 2016). The final orders on these cases became the first public records of India’s new insolvency and bankruptcy framework.

In this paper, we hand-collect information from these cases to understand the working of the new legal framework. There are two questions that we focus on: questions about the economic impact – how the law is being used, and questions about the judicial process – how the courts are functioning under the law.

The **IBC** is explicitly different from the existing legal framework and practices in many aspects (Sengupta, Sharma, and Thomas **2016**). The law does not dictate the form of the resolution outcomes, but designs the form of the process leading to the resolution. For this, it adds new institutions to the ecosystem – the **Insolvency Professionals (IPs)**, the **Insolvency Professional Agencies (IPAs)** and the **Information Utilities (IUs)**– to ensure efficient and speedy resolution of distress, with a statutory bankruptcy regulator to regulate the industries as well as the resolution processes. The law establishes a framework for collective action by creditors to resolve the financial stress of the debtor, another first in India. The process shifts away from a debtor-in-possession model to a model where creditors decide on the resolution while an impartial professional runs the operations of the debtor as a going concern.¹ Further, the law empowers the **National Company Law Tribunal (NCLT)** as the adjudicating authority, which does not intervene in the resolution process, but merely adjudges the fairness of the process and compliance with the law governing corporate insolvencies. The law designates the **National Company Law Appellate Tribunal (NCLAT)** as the appellate forum.

In this paper, we use information collected from the final orders published by the NCLT in the first six months of insolvency cases under the **IBC** to attempt an empirical analysis of the economic effect and the performance of

¹In fact, Bankruptcy Law Reforms Committee **2015** noted that, “...Control of a company is not divine right. When a firm defaults on its debt, control of the company should shift to the creditors. In the absence of swift and decisive mechanisms for achieving this, management teams and shareholders retain control after default. Bankruptcy law must address this.”

the judiciary. There are 23 fields of information for each case in the dataset. This includes parameters such as, who are the initial users of the insolvency process under the **IBC**, what kind of evidence are they using to support their claims before the **NCLT**, the average time taken by the **NCLT** to dispose off cases, the outcome of the proceedings and the variation between the benches. We use this data to try and answer the following questions:

About the economic impact of the law:

Q1: Does the law improve the balance between rights of the creditors and the firm debtor during insolvency?

Q2: Does the law empower various types of creditors when the firm defaults?

Q3: Does the law empower only large sized debt holders?

On the role of the judiciary:

Q4: Do the **NCLT** cases reflect a geographical spread of the insolvency cases?

Q5: Does the **NCLT** function within the timelines set in the law?

Q6: Is the role played by the **NCLT** as visualised within the **IBC**?

We answer these questions by analysing the insolvency cases for the period from December 2016 to May 2017. This has information for 110 cases, and includes orders of both the **NCLT** and the appellate tribunal, the **NCLAT**. Within this limited dataset and within such a short time from the passing of the law, we find behavioural shifts among credit market participants.

The data shows that 75 percent of the cases were filed by creditors and the remaining by debtors. This is contrary to the expectation that debtors would not trigger resolution under the **IBC** because the new law gives operating control to a third party (the insolvency professional). We also find that the new insolvency process is used by the operational unsecured creditors *more than* the financial creditors. About half the financial creditors who filed the **insolvency petitions** were secured creditors. But only one of the operational creditors who filed an **insolvency petition** was a secured creditor. This is a significant shift from the previous regime which empowered secured creditors. Lastly, there is wide variation in the size of the claims litigated by all creditors, with no perceptible skew towards only large creditors.

The role of the **NCLT** is similarly answered. We find that the data is more ambiguous about the change in the judiciary to fit within the role defined in the **IBC**. There is significant variation in the outcomes of insolvency petitions among the different benches of the **NCLT**, with no inherent bias towards the admission or dismissal of these cases across all benches. The data published by the **NCLT** does not readily allow us to assess the ability of the **NCLT** to

meet the timelines prescribed under the **IBC**. For those cases where the data is available, we find that the **NCLT** took an average of 24 days to dispose off a case, compared to 14 days that are visualised by the **IBC**. Finally, while the law sets out very specific grounds for dismissing an insolvency case and is largely biased towards allowing an insolvency to be triggered if the debtor has committed a default in repayment of an undisputed debt, the **NCLT** has dismissed petitions on extraneous considerations as well. This indicates that the **NCLT** seems to be viewing the admission of an insolvency case as an excessively harsh outcome for a debtor. Thus, the data shows that the working of the **NCLT** is not always in line with the letter and spirit of the **IBC**.

Our data set allows us to simultaneously review the working of the law as a bankruptcy reform as well as to assess the functioning of the judiciary under a new law. There is one additional role that the dataset plays, which is to assess how well the institutions under the **IBC** deliver on the statistical functions visualised in the law. In reading the orders of the **NCLT** related to the **IBC** processes, we find that there exists no standardised format of recording case information. Several final orders are lacking in basic information such as the kind of creditor who filed the petition, the claim amount and the date on which the insolvency case was instituted.

We argue that there are three adverse consequences of such incomplete or inadequate information in the final orders of a tribunal. First, the absence of basic information about the case hinders the ability of the **NCLT** to monitor the efficiency of its own benches. The lack of standardisation also constrains researchers from assessing the quality of the procedural requirements and outcomes of the law. Second, this early evidence on the quality of these orders of the **NCLT** is similar to analysis on the orders passed by Indian debt tribunals (Regy and Roy 2017) and suggests no improvement in the function of the **NCLT** under the **IBC**. This will hinder the ability to identify systemic lapses in the functioning of the tribunals and in designing appropriate interventions. Third, inadequate or incomplete data has implications for the overall accountability and transparency of these tribunals to the public, and in the long run, will erode the credibility of the **NCLT** as an institution.

Finally, the strength of the legal framework ultimately rests on the efficiency of the adjudicator of the law. This is especially so for a procedural law like the bankruptcy law. Structural lapses in the **NCLT** are likely to cripple the working of the legal framework, result in gaps in the efficiency of resolving insolvency cases as visualised by the **IBC** and leave the bankruptcy reforms process undone. Fortunately, these are early days yet, and it is important to correct these flaws in the processes as early as is possible.

The rest of the paper is organised as follows. Section 2 throws light on

the role of empirical research in policy. It contains the literature review for court related data collection endeavours in general and insolvency matters specifically. Section 3 provides an overview of what the dataset aims to achieve and introduces the dataset by describing the methodology of collection. Section 4 then describes the actual data fields captured. Sections 5 and 6 form the main body of the paper, answering the questions relating to a shift in the behaviour of credit market participants and the functioning of the NCLT through the findings from the data set. Section 7 sets out the policy recommendations based on the findings while Section 8 concludes the paper.

2 Role of empirical research in insolvency policy

As credit markets evolve, it is important that rules and regulations, as well as the primary law, remain relevant within the context of the current times. A study of the history of most economies show that they have gone through significant changes in their bankruptcy regimes, in response to changes in credit contracts and mechanisms. Those economies that did not undertake such reforms have often ended up with fractured and weak credit markets. Understanding the outcomes of current legal frameworks and designing appropriate interventions requires a continuous analysis of the performance of the current framework.

2.1 Analysing insolvency reforms

When the legal framework changes, research is needed to establish whether changes in the framework achieved the desired outcomes. If there is a gap between the expected and actual outcomes, analytical research is critical to identify what needs to be changed to close the gap. Sullivan, Warren, and Westbrook 1987 argue that bankruptcy policy cannot be firmly rooted in reality until empirical evidence about bankruptcy is gathered widely and routinely.

The importance of empirical analysis of the legal framework was less understood in emerging economies but increasingly, there is a recognition that monitoring and analysing outputs and outcomes of the legal framework is important. For example, the design and rationale document for the IBC by the Bankruptcy Law Reforms Committee (BLRC) emphasised the need for data collection and analysis (Section 4.1, Bankruptcy Law Reforms Committee 2015). The Committee recommended that a constant monitoring of the system by way of collecting data about the working of the processes and the various institutions under the new law was a critical input to ensure the

malleability of the law so as to achieve better credit market outcomes in the economy.²

In this paper, we focus on creating the data infrastructure to carry out the analysis that is visualised by the BLRC in evaluating the performance of the new law in achieving the target outcomes of the bankruptcy reforms. A dataset of legal cases that is amenable to research becomes an important input to the task of ensuring the malleability of the law. So much so that in some countries, building and publishing open access datasets is a regulatory function. Official research agencies maintain databases collating information on judicial proceedings, like the *Bankruptcy Petition New-STATS Snapshots* (BPNS) database created by the Federal Judicial Center and the *Advanced level Bankruptcy Cases Database* maintained by the Securities Exchange Commission, in the United States.³ Such databases are also built and maintained by academic institutions such as the *Advanced level Bankruptcy Database* built at the Duke Law School.⁴

2.2 The judiciary and outcomes of insolvency reforms

It is widely accepted that there is a positive link between the functioning of courts and economic activity (Chemin 2010). In the context of insolvency and bankruptcy, the regulatory framework and procedural regime tends to vary widely across jurisdictions (Djankov et al. 2008) and the bulk of empirical evidence on bankruptcy cases tends to be country-specific. In more developed economies with highly evolved bankruptcy regimes, the literature on bankruptcy has often shown linkages between judicial discretion, variation in judicial procedures and bankruptcy outcomes (Giammarino and Nosal 1994, Gennaioli and Rossi 2010). In developing countries, the literature has focused on the performance of courts and studying their impact on the effectiveness of bankruptcy reforms undertaken in these countries (Ponticelli 2014 and Ponticelli and Alencar 2016).

In India, the link between the performance of the judiciary and insolvency outcomes has not been empirically analysed. Ravi 2015 analyses a limited sample set of insolvency cases to measure the efficiency and problems of the present laws for firm bankruptcy in India. However, the scope of this analysis naturally did not extend to the newly enacted *IBC*.

²Section 4.1.1 in Bankruptcy Law Reforms Committee 2015 includes a statistical function in the role of the IBBI in order to ensure malleability of the legal framework and to track the performance of the law.

³See <https://www.fjc.gov/research/idb/bankruptcy-cases-filed-terminated-and-pending-fy-2008-present>; and <https://www.sec.gov/open/datasets-bankruptcy.html>

⁴<https://law.duke.edu/lib/facultyservices/empirical/links/courts/>

There is now a nascent literature developing on the working of the Indian judiciary. One strand of the literature has focussed on generic issues in the judicial process such as increasing the efficiency of courts (see, for instance, Shah and Datta 2015), increasing the efficiency of tribunals through a separate administrative body (see Datta 2016) and the reforms required to tackle the problem of reliable data collection by the judicial institutions (see Kumar and Datta 2016). Another strand of the literature analyses judicial delays and the pendency of cases in civil courts (DAKSH 2015, DAKSH 2016, Khaitan, Seetharam, and Chandrashekharan 2017). Similar work has been done on the performance of debt tribunals (Regy and Roy 2017). Our paper adds to this literature by assessing the judicial efficiency of the NCLT from the insolvency case data under the IBC.

3 What does our dataset do?

The IBC, being a relatively new legislation, is in the nascent stages of its implementation. The provisions governing corporate insolvency were notified through December 2016. Since then, several applications to trigger the IBC have been filed across the country. Many of these applications have been disposed off and the process of resolution is ongoing.

The final orders disposing off these cases offer a natural opportunity to answer questions related to the first instances of use of a new bankruptcy law. The jurisprudence on the law is evolving and the cases disposed by the NCLT are frequently discussed in the popular media (Dasgupta 2017, Poddar 2017, Gada and Singh 2017, Bansal 2017). Till now, however, there is no comprehensive effort at understanding the outputs of the law, and what these outputs mean for the expected outcomes of the law.

Our paper is the first step towards achieving that goal. This will take two steps: (1) collect orders and parse them for information that is useful to answer questions related to the use of the law in the insolvency resolution process, and (2) record and archive this information in a format, which makes it readily accessible for empirical research to monitor the status of the reform and what is required for the next level of reforms. We take these two steps by building a dataset of insolvency cases disposed off under the IBC.

We follow this with examples of empirical analysis that our dataset can support. We illustratively apply the dataset to answer two kinds of questions. The first question focuses on the progress in bankruptcy reforms since the IBC. We ask how the creditors and the firm as debtor – two important economic stakeholders in the credit markets – are using the new insolvency and bankruptcy processes. Our analysis includes questions on who is using

the process, and whether the usage patterns show a change compared to the use of the earlier insolvency and bankruptcy regime. The second question is on how the judicial systems are functioning under the **IBC**.

For understanding the dataset, an overview of the organisational structure of the **NCLT** and **NCLAT** and their role under the **IBC**, is imperative. The next two sub-sections provide this overview. The third sub-section describes the data collection methodology.

3.1 Organisation of the NCLT

The **NCLT** is established under the *Companies Act, 2013*, not the **IBC**, and has a broader purpose of discharging various functions under the former Act. This includes functions such as approving schemes of mergers and amalgamations and dealing with complaints of shareholder oppression and mismanagement. Under the **IBC**, additional powers are conferred upon the **NCLT** to deal with insolvency and bankruptcy proceedings of corporate entities.

The organisational structure of **NCLT** comprises of a President, judicial and technical members and staff. A judicial member is required to have been a judge of a District Court or a High Court or a lawyer with at least ten years of experience. A technical member is required to have been a member of the Indian legal services or the corporate affairs services. The employees and staff of the **NCLT** work under the superintendence of the President. Locations of the **NCLT** includes a principal bench located in New Delhi, and eight other benches located across India.⁵ Each bench must have a technical member and a judicial member. The *Companies Act, 2013* empowers the Central Government to constitute as many benches of the **NCLT** as it may deem fit. Additionally, it empowers the presiding officer of the **NCLT** to constitute special benches for the rehabilitation, restructuring, reviving or winding up, of companies. Such special benches must consist of three or more members, with the majority necessarily being judicial members. For example, a special bench was set up in Guwahati to dispose off a limited question of law that arose in an **insolvency petition** before the Kolkata bench.

Appeals against the orders of the **NCLT** can be made to the **NCLAT**. The **NCLAT** comprises a Chairperson, a judicial and technical members, with specific qualifications.⁶ The **NCLAT** has one bench located in New Delhi.

⁵These benches are located in Mumbai, Hyderabad, Allahabad, Ahmedabad, Kolkata, Chennai, Bengaluru and Chandigarh.

⁶The Chairperson must have been a judge of the Supreme Court or a chief justice of a High Court. A judicial member must have been a judge of a High Court or a judicial member of the **NCLT** for at least 5 years. A technical member must be a person of proven

Appeals against the orders of the **NCLAT** can be made to the Supreme Court.

Every proceeding before an **NCLT** or an **NCLAT** ends with the passing of an interim order or a final order. An order that does not finally dispose off an **insolvency petition**, is referred to as an interim order. An order that finally disposes off an **insolvency petition** is referred to as a final order.

3.2 Role of the NCLT under the IBC

The Bankruptcy Law Reforms Committee **2015** discussed the role of the judiciary in the insolvency resolution process in detail, and the report of the committee underscores the need for the judiciary to focus on questions of procedure or due process, rather than the terms of the resolution itself, which must be left to the will of the creditors committee.⁷

In the scheme of the **IBC**, the adjudicating authority is necessarily involved in at least two stages of the resolution process,⁸ as follows:

The process of invoking the IBC:

The **IBC** can only be triggered by petitioning the **NCLT**. This petition is referred to as an **insolvency petition**. When an **insolvency petition** is filed, the law defines that the role of the **NCLT** is to identify whether the debtor has committed a default in repayment of an undisputed debt to the petitioning creditor. If the **NCLT** finds that the debtor has defaulted to the creditor; and has not disputed the claim of default by the creditor beforehand, the **NCLT** must allow the petition to go through, else it must dismiss the petition.⁹ Further, the law requires the **NCLT** to decide on the petition within 14 days from the date on which it is filed.

Thus, the **IBC** leaves little scope of discretion to the **NCLT** in deciding whether to admit or dismiss **insolvency petitions**.

Approval of a resolution plan:

When an **IP** presents a resolution plan that has been approved by the prescribed majority in the creditors committee, the **NCLT** must sanction the

ability, integrity and standing having special knowledge and experience, of not less than 25 years, in law, industrial finance, industrial management or administration, industrial reconstruction, investment, accountancy, labour matters, or such other disciplines related to management, conduct of affairs, revival, rehabilitation and winding up of companies

⁷The Bankruptcy Law Reforms Committee **2015** states, “The legislature and the courts must control the process of resolution, but not be burdened to make business decisions.” Further, see Section 4.2.4.

⁸The **NCLT** may also be involved in other procedural details during the resolution process, such as in the replacement of the resolution professional during the resolution process.

⁹The petition may be filed by either a creditor or by the debtor itself. Where the debtor files for an **insolvency petition**, the **NCLT** must admit the **insolvency petition** if it is complete, and reject it if it is incomplete.

plan once it ensures that due process, as defined in the **IBC** is met in reaching the final vote.

At this stage too, the **IBC** leaves little scope for the **NCLT** to question or intervene in the commercial decisions of the creditors.

The two processes listed above are critical in the life-cycle of a resolution process under the **IBC**. The quality and efficiency of adjudication at these two stages can directly affect the outcomes of **IBC**. When the **IBC** is triggered, the law contemplates a moratorium on all pending and new legal proceedings against the debtor for a period of 180 days.¹⁰

An order of a tribunal permitting the **IBC** to be triggered has serious implications for all the parties involved. Further, the orders of these tribunals set precedents for those who wish to trigger the **IBC** in the future. The expeditious disposal by the **NCLT** of the **insolvency petitions** help to preserve the value of the firm (Section 3.4.1 of the Bankruptcy Law Reforms Committee 2015). Similarly, a robust adjudication process at the stage of approval of the resolution plan will ensure the integrity of the resolution process and build trust in the legal framework. The importance of a well-functioning adjudication process at the **NCLT** cannot be understated, for the sound functioning of the **IBC** (Shah and Thomas 2016, Datta and Regy 2016).

3.3 Data collection methodology

The dataset has been compiled by hand-collecting select information from the orders on **insolvency petitions** published on the website of both, the **NCLT** and the **NCLAT**. For this, we collect and evaluate all *final orders* passed by the **NCLT** for the first six months from the date of notification of the provisions on the insolvency of corporate bodies under the **IBC**. Thus, this study covers only the period from 1st December, 2016 to 15th May, 2017. We refer to this period as the **sample period (sample period)** for the rest of this paper. We create the dataset by capturing fields of information that we consider essential to assess the performance of the **IBC**.

Since the orders are non-standardised, we peruse each order in full to capture the selected data-fields. Where the order does not contain data on the relevant field, we record it as “not available”.

¹⁰During this period, the insolvency professional takes charge of the business to ensure that it continues operation while the resolution is being decided upon, while the debtor can be temporarily dispossessed.

4 Fields captured in our dataset

The information collected includes the dates of various actions taken in the process of filing, the process of the insolvency resolution and the response of the **NCLT**. Much of the recorded information is in the form of a *categorical variable*. These can have binary values, such as whether the case is admitted or rejected, or whether the debt was secured or unsecured. They can also have one of a set of possible values, as in what was the reason that the **NCLT** dismissed the petition or which bench the petition was filed at. The collected data may also be a *numerical value* such as the amount of debt that is due.

At present, the data is a set with 23 information fields. We describe the fields¹¹ below, in the order that they are present in the dataset, along with reasoning behind their construction:

1. **Case number** This is the case number of the **NCLT** order which is the primary identifier. Since the orders of the **NCLT** and the **NCLAT** are indexed on the website by their case number, using the same referencing style in the data set, will allow ready tracking to the underlying case.

Where an order passed by the **NCLT** has been appealed against, a separate case identifier is used by the **NCLAT** for the appeal proceeding. For appeals which have been disposed off, the case identifier of such appeal proceeding has been mentioned next to the order of the **NCLT** that was appealed against.

2. **Location of the bench where the case is filed** This field will contain one of a set of fixed names which are the benches of the **NCLT** at present. As more benches are set up, the list of possible names can increase.

The orders on the **NCLT** website are classified based on the Bench where the **insolvency petition** was filed.

3. **Who filed?** This field captures one of three possible values: Not available, for where the information is not available in the order or record of whether the case was filed by a creditor or the corporate debtor.

An innovation the **IBC** brings to the Indian insolvency framework is that it allows any creditor, or the debtor to trigger insolvency resolution of a stressed firm. In the earlier regime, this was restricted to a small set of secured creditors.

A reading of the cases allows us to record whether the **insolvency petition** was filed by a debtor or a creditor. In case the **insolvency petition** is filed by the latter, the case records whether it was an operational or a financial creditor. If the former, we are able to identify what kinds of operational creditors are using the **IBC** to recover their claims.

This helps us to record fields 4 to 7 that follow. By tracking the types of entities, it is possible to understand who considers the **IBC** as a suitable mechanism to resolve their claims.

4. **Type of creditor** This field captures what type of creditor has filed the petition.

Under the **IBC**, a petition can be filed by financial or operational creditors.

¹¹A technical description of each field of information is available in Appendix A, and a statistical description of the fields are available in Appendix B.

5. **Type of operational creditor** There are several possible operational creditors. From the dataset, they include decree holders, employee, franchiser, property buyer, service provider (such as electricity or telephone) or other suppliers.¹²
6. **Type of financial creditor** Among the different types of financial creditors who have filed at present, there are banks (who are the largest with 8 out of 20 cases), bond holders, corporate lenders, debenture holders, individuals, NBFCs, property buyers, service providers and trustees / debenture trustees.¹³
7. **Name of the debtor** This field captures the name of the debtor, as recorded in the order of the NCLT. It permits ease of search in identifying whether an **insolvency petition** has been admitted against a debtor, especially in cases when a user of the dataset is unaware of the case number of the proceedings before the **NCLT**.
8. **Amount of debt** The amount of debt (in Rs. value) against which the **insolvency petitions** is filed.
The **IBC** allows insolvency proceedings to be initiated against a firm only when the value of the debt is equal to or exceeds Rs.100,000. This field allows us to analyse what are the typical values used to trigger insolvency.
9. **Secured or unsecured creditor** This field allows us to record whether unsecured creditors use the **IBC** mechanism.¹⁴
10. **Due date of payment** This field captures the due date of payment of debt as mentioned in the order of the **NCLT**.
A measure of the time taken between the default date and the date of filing an **insolvency petition** indicates the time after default that creditors allow to elapse before pursuing insolvency proceedings.
11. **Date of demand notice** This field records the date of a demand notice issued by an operational creditor to a debtor to repay the debt, according to the process in Section 8 of the **IBC**.¹⁵
12. **Date of receipt / service of demand notice** This field records the date when the debtor receives the demand notice from a creditor.
Under the **IBC**, the debtor is provided a period of ten days from the date of receipt of a demand notice, to either repay the unpaid operational debt or notify the creditor of the existence of a dispute concerning the debt.¹⁶
13. **Date of filing in NCLT** This field captures the date on which an **insolvency petition** is filed before the **NCLT**.
14. **First date of case listing** This field captures the date on which the case is first listed to be heard by the **NCLT** bench once it has been filed.

¹²Note that property buyers have been grouped separately from operational and financial creditor in a group termed as 'other creditors' as per the latest change to the insolvency regulations.

¹³Note that property buyers have been grouped separately from operational and financial creditor in a group termed as 'other creditors' as per the latest change to the insolvency regulations.

¹⁴In the pre-IBC regime, only secured creditors could take debt recovery action against debtors. They had a wide range of powers under the SARFAESI Act, 2002 as well as the Companies Act, 2013 for debt recovery against a debtor, while unsecured debtors were largely restricted in their ability to carry out similar debt recovery efforts.

¹⁵Section 8 of the **IBC** allows an operational creditor to deliver a demand notice or the copy of the relevant invoice to the corporate debtor, demanding payment of outstanding dues.

¹⁶Section 8 of the **IBC**

A delay in fixing this date at the first instance is likely to lead to subsequent delays in adhering to overall timelines. Thus, the first date of listing of an **insolvency petition** throws light on the urgency with which the **NCLT** treats the procedure after the **insolvency petition** has been filed. This could be attributed to the internal processes of the **NCLT** in scheduling hearings for a matter before it.

- 15. Date of final disposal** This field captures the date of the **NCLT** order either admitting / dismissing an **insolvency petition**.
This, along with the date of filing of the petition, provides an insight into the aggregate time that is taken for disposing off an **insolvency petition**.
For example, an analysis of the duration between the date of first listing of an **insolvency petition** and this date tells us how much time is taken in the disposal of the **insolvency petition** once an **insolvency petition** is placed before a bench. The time taken between the date of first listing of an **insolvency petition** and this date may be attributed to the conduct of the parties themselves or the case load handled by an **NCLT** on a daily basis.
- 16. Evidence of debt** This field records such evidence of debt as is relied upon by the petitioner, and may include information obtained from an **IU** or produced from other sources.
This allows us to observe whether the **IUs** are playing the role that was envisaged for them and the extent to which **NCLTs** are relying on evidence that does not emerge from an **IU**.
- 17. Admitted / dismissed** This field records the outcome of an **insolvency petition**. An insolvency petition may either be admitted or dismissed.¹⁷
- 18. Category of reason for dismissal** This field captures various reasons for dismissal of an **insolvency petition** under various categories.
We define categories of dismissal based on common reasons for dismissal recorded in the orders. At present, there are seven classifications we record for dismissal. This may change as the size of the data increases.
- 19. Name of the IP** This field records the name of the **IP** appointed when an **insolvency petition** is admitted.
- 20. URL for the case** This field stores the URL of the relevant page of the **NCLT** website to allow easy tracking of the order.
- 21. Was the order appealed against?** This field records whether the final order of the **NCLT** captured in the dataset has been appealed against,¹⁸ since the law allows for any person aggrieved by an order of the **NCLT** to appeal before the **NCLAT**.¹⁹
- 22. Who appealed?** This field records whether the appeal in Field 21 was filed by the debtor or the creditor.
- 23. Was the appeal admitted or rejected?** This field records the outcome of an appeal preferred to the **NCLAT**, which may either allow or reject the appeal.

In the present version of the data, these fields are recorded for all the cases in the sample period. However, this is an ongoing effort. As more case-law

¹⁷Note that for the purpose of this field, **insolvency petitions** which have been withdrawn by the petitioner have also been treated as dismissed on account of withdrawal.

¹⁸Note that this field has been populated on the basis of the list of final orders/judgments passed by the **NCLAT**, as found on the **NCLAT** website. It is possible that some orders from the dataset have been appealed against but such fact is not recorded in the dataset since the appeal has not been finally disposed off.

¹⁹Section 61 of the **IBC**.

emerges, the fields of information in this dataset will correspondingly change to ensure that the fields captured are capable of the most productive analyses of insolvency cases in India. For instance, if the orders of the **NCLT** reflect this information, the dataset may be expanded to capture the outcome of the resolution process and the recovery rates.

5 The insolvency cases data, analysis #1: shifts in use by credit market participants

In this section, we apply the dataset to understand the kind of cases which are being triggered under the **IBC**. To understand the same, we specifically ask the following questions:

- Q1: Is there a change in the balance between rights of the creditors and the firm debtor during insolvency under the **IBC**?
- Q2: Do the rights of creditors during insolvency under the **IBC** extend to various types of creditors of the firm debtor?
- Q3: Is the **IBC** being used to trigger the insolvency resolution process only for large size debt, or are there defaults on smaller sized debts where insolvency resolution process is triggered?

5.1 Enhancing creditor rights in India

Prior to the enactment of the **IBC**, India was observed to be a country with greater debtor rights compared to creditor rights.²⁰ Even among creditors, unsecured and operational creditors had limited legal remedies to enforce their claims under firm debtor insolvency.

If a debtor defaulted to an unsecured creditor, the creditor had three remedies to recover its claim: civil suit, arbitration or petition the High Court for winding up if the debtor is a company. As the evidence from the literature shows, civil suits were not efficacious in a court system that is already riddled with a backlog of cases. Arbitration is expensive. Winding up a company in India takes anywhere between five to ten years (Ravi 2015).

The **IBC** is intended to provide unsecured creditors, particularly, an operational creditor, a forum to aggregate the creditors and have a legitimate

²⁰For instance, the World Banks Ease of Doing Business Index 2015 ranked India 137 out of 189 countries on the ease of resolving insolvencies based on various indicators such as time, costs, recovery rate for creditors, the management of a debtors assets during the insolvency proceedings, creditor participation and the strength of the insolvency law framework.

chance to enforce its claim. The **IBC** defines *operational debt* as a claim in respect of the provision of goods or services, including employment or a debt in respect of statutory dues payable to the Central Government, any State Government or any local authority. *Financial debt* is debt, along with any interest, which is disbursed against the consideration for the time value of money.

Table 1 shows the break-up of applicants who petitioned the **NCLT** to trigger the **IBC**.²¹ We find that out of the 110 orders studied, a little more than half the petitions were filed by operational creditors. This is in sharp contrast to the financial creditors who have filed less than twenty 20 percent of the **insolvency petitions** in the dataset.

Table 1 Who uses the **IBC**? Evidence from Dec 2016 to May 2017

No. of petitions filed by creditors	83
No. filed by operational creditors	62
No. filed by financial creditors	21
No. of petitions filed by debtors	26
No. of unknown applicants	1
Total	110

There may be multiple reasons for the contrast observed in the behaviour of the financial creditor. Anecdotal evidence suggests that firm debtors default to financial creditors the last. Financial creditors may largely be secured creditors who may choose to enforce their claim by realising their security. There is lack of regulatory certainty on provisioning norms for banks to the apprehension of scrutiny by the anti-corruption investigative agencies among bank management (Mehta 2017). However, in the absence of data on default or the enforcement of security by financial creditors in India, the reason for the divergence in creditor behaviour in triggering the **IBC** is unclear.

Another feature of interest is the behaviour of the debtor. There is a commonly voiced apprehension that the debtor will avoid resorting to insolvency because under the insolvency resolution process, the board of the debtor can be replaced by the resolution professional. Contrary to this apprehension, around 24 percent of the petitions in this early six month period have been filed by debtors.

²¹It is pertinent to point out that in one case, the final order was a one line order dismissing the **insolvency petition**, which did not articulate basic information on who was the applicant.

Table 2 Outcomes for **insolvency petitions** filed by different applicants

Applicant category	No. of cases		
	filed	admitted	dismissed
Creditors			
Operational	62	26	36
Financial	21	12	9
Debtors	26	23	3

Table 3 Cases filed by operational creditors

Employees	5
Vendors	43
Others	6
Not known	8
Total	62

Table 2 shows the admission and dismissal rates across different categories of petitioners. Table 3 shows that out of the cases filed by operational creditors, the largest fraction of them were filed by vendors. Nine of the **insolvency petitions** filed by financial creditors, and 36 of the **insolvency petitions** filed by operational creditors, were dismissed. This translates into 43 percent of the cases filed by the financial creditors and 58 percent of cases by the operational creditors that were dismissed. Further, we find where the operational creditors are employees of the firm debtor, three out of five cases filed are dismissed. In comparison, only 11.5 percent of the cases filed by debtors were dismissed.

This suggests that cases filed by financial creditors and debtors appear to have a greater probability of acceptance than operational creditors, especially employees. Of course, these are yet early days and more data is required before these features can be established in a robust manner.

Some other note-worthy observations are listed here:

- Among the other operational creditors who have petitioned the **NCLT**, one of the creditors is a holder of an arbitration award.
- While about half the financial creditors who filed the **insolvency petitions** were secured creditors, only one of the operational creditors who filed an **insolvency petition** is a secured creditor.
- Four creditors are buyers of under-construction flats who had paid an advance on which the builder debtor had offered guaranteed returns. The **NCLT** has dismissed these petitions.²²

²²Note that the status of property buyers under the IBC is currently in a state of flux. They have been notified as a third category of creditors under the relevant regulation but

Finally, we examine whether there is any pattern in the size of debt that is used to trigger insolvency under the *IBC 2016*. The law places a threshold of Rs.100,000 in order to trigger an insolvency case.

Table 4 shows the range of debt claims disposed off under the *IBC 2016* during the *sample period*. The table also presents the distribution across the different quartiles, by showing threshold values at three different cut-off points: for the 25th percentile point, the 50th percentile and the 75th percentile point. The 25th percentile point is the value below which 25 percent of the cases will fall. Further, this has been done by the different types of stakeholders – financial creditors, operational creditors and the firm debtor.

Table 4 Size of debt in the insolvency cases at NCLT

(All values in Rs. except for number of observations)			
Size of debt reported	Corporate debtors	Operational creditors	Financial creditors
Minimum	9,211,106	109,516	3,069,000
25 th percentile	98,160,525	1,276,884	15,085,632
50 th percentile	435,747,000	3,373,191	172,037,926
75 th percentile	128,97,93,692	28,027,382	772,448,220
Maximum	25,800,700,000	1,319,000,000	8,565,257,199
No. of observations	24	54	16

The table shows that the smallest claim to trigger the *IBC* was filed by an operational creditor with a claim of debt default of Rs.109,516 (or Rs.1.09 lakh). In comparison, the smallest debt against which a financial creditor triggered the *IBC* was Rs.3,069,000 (or Rs.30.69 lakhs) which was 30 times larger. The maximum debt default claimed by an operational creditor was Rs.1,319 million (or Rs.131.9 crores) while the largest default to a financial creditor was Rs.8,565 million (or Rs.856.5 crores) which was only 8 times larger. This shows that operational creditors, who had considerably weaker rights under the previous regime, had considerably large debt repayments due from firm debtors.

In this set of 110 cases, fifty percent of dues to operational claimants were at or below Rs.3.37 million or Rs.33.7 lakhs. In comparison, fifty percent of the dues to financial creditors were at or below Rs.172 million or Rs.17.2 crores.

From this, we infer that the threshold specified in the law does not appear to be a deterrent to trigger resolution under *IBC* against firm debtors so

it is expected that there are further changes to status.

far.

In each case of the firm debtor triggering the **IBC**, the size of the debt is relatively larger since the full debt that is owed is reported.

5.2 Summarising shifts in the behaviour of creditors and debtors

The above empirical analysis helps us to answer our questions about how the **IBC** is being used by two key stakeholders – creditors and debtors.

Q1: Is there a change in the balance between rights of the creditors and the firm debtor during insolvency under the **IBC**?

Answer: As explained above, the legal regime preceding the **IBC** conferred weak rights on creditors, especially unsecured creditors. It created tremendous scope for the judiciary to intervene in the commercial matters of debt re-structuring. The law itself and the courts and tribunals enforcing it, also exhibited a rehabilitation and pro-debtor bias (Ravi 2015). While the sample period represents the earliest days of operationalisation of the **IBC** and the dataset is small to conclusively answer this question, the data indicates that there has been a shift in enforcement of creditors' rights under the **IBC 2016**.

Of the 110 cases that we reviewed in this paper, 75 percent of the cases were triggered by creditors. Of these, 75 percent were filed by unsecured operational creditors. This indicates that operational creditors, who hitherto had weak enforcement rights, have resorted to the **IBC 2016** to enforce their claims.

Of the 110 cases that were filed, 50% of them have been admitted by the **NCLT** and are now undergoing a mutually negotiated debt restructuring process. This indicates that the **IBC 2016** largely dispenses with the pro-debtor bias exhibited by judicial bodies under the previous regime.

Within the caveat that these are early days and we still have to observe how these cases get resolved, the observed data suggests that creditors are able to use the new insolvency and bankruptcy regime with increasing confidence compared to the previous regime.

Q2: Do the rights of creditors during insolvency under the **IBC** extend to various types of creditors of the firm debtor?

Answer: Under the **IBC**, all creditors have shown the ability to trigger insolvency proceedings in the **NCLT**. This is in contrast to the previous regime where only a certain subset of creditors were able to trigger insolvency proceedings against firm debtors, and other creditors had to file cases in civil courts.

Q3: Is the **IBC** being used to trigger **insolvency petition** only for large size debt, or are there small defaults which trigger **insolvency petition**?

Answer: The **IBC** is being triggered by creditors on a wide range of size of defaults. While this is true, the empirical evidence suggests that most of the cases observed so far (more than 75 percent of the cases) tend to be triggered

using debt defaults that are approximately 10 to 100 times larger than the threshold of Rs.100,000 set in the law.

6 The insolvency cases data, analysis #2: the functioning of the NCLT

The second research focus is on the functioning of the judiciary under a new law. In this analysis, we aim to characterise how the **NCLT** has dealt with the case load of the **insolvency petitions**. We examine three aspects:

Q4: Do the **NCLT** cases reflect a geographical spread of the insolvency cases?

Q5: Does the **NCLT** function within the timelines set in the law?

Q6: Is the role played by the **NCLT** as visualised within the **IBC**?

At the start, we present a brief description of the **NCLT** to set the context for the empirical analysis of its functioning.

6.1 An empirical description of the NCLT orders on insolvency cases under the IBC

We start with simple descriptions of the case load and the geographic spread of the case loads observed in the insolvency cases at the **NCLT** in the **sample period**.

Table 5 IBC cases disposed, Dec 2016 to May 2017

	Final orders	
	passed	studied
NCLT	110	110
NCLAT	10	10
Total	120	120

Table 5 presents the number of cases that were disposed by the adjudicator under the **IBC**. As the data shows, this includes both the **NCLT** as well as the appellate tribunal under the **IBC**.

A question that arises when implementing a new law is how to ensure that there is sufficient judicial capacity to deal with it throughout the country. At present, there are nine benches of the **NCLT**, which are to deal with insolvency and bankruptcy matters as well as all other matters under *Companies Act, 2013*.

How have the first six months of cases been spread across the present locations? Table 6 contains a break-up of the number of orders passed by each

of the nine benches during the sample period, while Table 5 presents the final orders passed by the **NCLAT** disposing off appeals from the orders of the **NCLT** passed during the same period.

Table 6 Final orders passed by the **NCLT** across benches, Dec 2016 to May 2017

	Bench	Number of final orders
1.	New Delhi	32
2.	Ahmedabad	9
3.	Allahabad	5
4.	Bangalore	4
5.	Chandigarh	11
6.	Chennai	1
7.	Hyderabad	3
8.	Kolkata	4
9.	Mumbai	41
	Total	110

Out of the 110 orders studied, the Mumbai bench of the **NCLT** passed the maximum number of orders, followed by the Delhi bench (Table 6). The New Delhi bench of the **NCLT** had constituted a special bench for three of the orders.²³ The special bench that disposed off the three **insolvency petitions** comprised of two members, only one of whom is a judicial member. The reason for constituting a bench for some **insolvency petitions** and not others is unclear.²⁴

This is a matter of some concern because the method of constituting benches for the disposal of **insolvency petitions** materially affects the outcome of the case. An irregularity in the constitution of a bench may well be a ground to challenge the final orders passed by such a bench. The final orders passed by special benches do not indicate the reason why these cases were selected to be disposed off by special benches.

²³Section 419(4) of the *Companies Act, 2013* allows the President of the **NCLT** to constitute a special bench for rehabilitation, restructuring, reviving or winding up of companies. The law requires such special benches to consist of three or more members, with the majority necessarily being of judicial members.

²⁴A special bench had also been constituted at Guwahati to dispose off a limited reference on a technical question of law arising in an **insolvency petition** filed before the Kolkata bench of the **NCLT**.

It is unclear why the limited technical reference, made to the special Guwahati bench, could not have been disposed off by the Kolkata bench adjudicating the **insolvency petition** in which such a question arose.

While the Guwahati bench disposed off this reference, we have not taken the final order that it passed into account, because the order was restricted to answering the limited reference and not the disposal of an **insolvency petition**.

Without attributing any impropriety to the constitution of such benches, it is important that the reasons for their constitution and the reasons why specific cases were allocated to such benches must be published. Moreover, the procedural irregularities in the constitution of the bench must be appropriately dealt with.

6.2 How long does it take to dispose an **insolvency petitions**

The orders have numerous information gaps owing to the absence of a standardised format for writing orders. While each order specifies the date on which it was passed, several orders do not capture information critical to assessing the timelines involved for disposal of **insolvency petitions**, such as:

1. the date on which the **insolvency petition** was filed and the date on which it first came up for hearing (T1);
2. the number of times hearings were scheduled before passing the final order;
3. the number of interim orders passed before the final order is passed.

Information in items 1 and 2 can potentially be hand collected from the list of cases scheduled for hearing that is published by each bench of the **NCLT**. These lists are commonly referred to as *cause lists* among practitioners. Since cause lists are prepared for a given day or a given month, continuous monitoring of the daily cause lists of each bench of the **NCLT** should give us data on the number of times an **insolvency petition** was scheduled for hearing. However, gathering data from daily cause lists suffers from the following two problems:

1. It is not possible to get historical data on the case-listing from the cause-lists. The daily cause-lists published by the **NCLT** are not archived and are available electronically to the public only for about 48 hours.
2. The fact that an **insolvency petition** is scheduled for hearing in the daily cause-list does not mean that the **insolvency petition** was, in fact, heard on the scheduled date.

The information display systems of the **NCLT** do not give an overview of the entire cycle of the case and bits and pieces of information are available in the final orders. This severely constrains the ability of both the court administration as well as external researchers to assess the performance of the **NCLT**.²⁵ With the limited data that is available from these orders, we

²⁵This data may be available in the case files maintained by the **NCLT** itself. However, the absence of this data in public domain implies extensive costs and resources to facilitate any precise assessment of the performance and efficiency of the court.

have attempted to estimate the average time taken for disposal of these **insolvency petitions**. Table 7 contains a summary of our findings.

Table 7 Average time taken for disposal of **insolvency petitions**

Stages	Number of cases	Average time (calendar days)
T0 to T1	12	18
T1 to T2	52	16
T0 to T2	24	24

Table 7 shows that the average time taken from the date of filing the **insolvency petition** to the date on which it first came up for hearing is 18 days(T0 to T1) and the corresponding average from the date on which it first came up for hearing to the date on which it was finally disposed off is 16 days(T1 to T2). Finally, the average time taken for disposal from the date on which the **insolvency petition** was filed is 24 days(T0 to T2). This is significantly higher than the timeline of 14 days prescribed under the **IBC**.

6.3 Describing admission and dismissal of insolvency cases

Table 8 shows the number of **insolvency petitions** admitted and dismissed during the **sample period**. Close to 45% of the orders studied dismissed the **insolvency petitions** filed before the **NCLT**. This leads us to infer that there is no inherent bias to admit or dismiss **insolvency petitions** among the **NCLT** benches.

Table 8 Total number of cases admitted and dismissed

Cases admitted	61
Cases dismissed	49
Total	110

A breakup of admission and dismissal across locations in Table 9 shows that the Mumbai Bench has been observed to admit the highest percent of petitions at 76% of the total number of **insolvency petitions** disposed off during the **sample period**. The New Delhi bench, on the other hand, dismissed 72% of the **insolvency petitions** disposed off by it during the **sample period**.

Table 9 also shows that the admission to dismissal ratio for the Mumbai and New Delhi benches is almost reverse. In five final orders passed by the **NCLT**, the **insolvency petitions** was dismissed because the insolvency was resolved by the parties outside the **NCLT**.

Table 9 Admission and dismissal of **insolvency petitions** across benches, Dec 2016 to May 2017

Bench	Final orders passed		
	Total number	Admitted	Dismissed
Ahmedabad	9	4	5
Allahabad	5	3	2
Bangalore	4	3	1
Chandigarh	11	8	3
Chennai	1	1	0
Hyderabad	3	0	3
Kolkata	4	2	2
Mumbai	41	31	10
New Delhi	32	9	23

Reasons for dismissal

The **IBC** sets out specific and limited grounds on which the **NCLT** may dismiss an **insolvency petition**. For example, **insolvency petitions** filed by operational creditors may be dismissed on the following grounds:

1. the **insolvency petition** is incomplete;
2. the debtor has repaid the debt in respect of which the **insolvency petition** has been filed;
3. the operational creditor has not delivered the statutory demand notice or the invoice to the corporate debtor;
4. the operational creditor has received a notice of dispute or there is a record of dispute in an **IU**; or
5. any disciplinary proceeding is pending against the **IP** proposed by the operational creditor.²⁶

The grounds for dismissing an **insolvency petition** filed by a financial creditor are even more limited to the following three reasons:

1. the debtor has not defaulted to the financial creditor on the payment of debt in respect of which the **insolvency petition** is filed;
2. the **insolvency petition** application is incomplete; or
3. any disciplinary proceeding is pending against the **IP** proposed by the operational creditor.²⁷

Table 10 indicates the different grounds on which **insolvency petitions** were dismissed during the **sample period**. This shows that a little under 50 percent of the **insolvency petitions** were dismissed on grounds *not specifically listed* in the **IBC** (recorded as *Others* in the Table).

²⁶See section 9(5) of the **IBC**.

²⁷See section 7(5) of the **IBC**.

Table 10 Grounds of dismissal of **insolvency petitions**

Ground of dismissal	No. of insolvency petitions dismissed
Existing dispute	8
Applicant was not a creditor as defined in the IBC	7
Settled out of court	5
Debt recovery barred by limitation	3
Incomplete application	2
Operational creditor failed to issue statutory demand notice prior to filing the insolvency petition	2
Others	22
Total	49

A review of a sample of dismissals classified as “Others” in Table 10 shows that the **NCLT** has taken note of extraneous factors for dismissing the **insolvency petition**. For instance, in an **insolvency petition** filed before the Mumbai bench, the Tribunal took cognizance of the fact that all the ingredients required under Section 9 of the **IBC** were present to admit the **insolvency petition** and declare a moratorium. However, the **NCLT** extended the scope of its inquiry to the balance sheet of the debtor and held that since the debtor had sufficient assets on its balance sheet, it would be unfair and inconvenient for the debtor if moratorium were to be declared. In delivering this order, the **NCLT** ignored the creditor’s argument that the provisions of the **IBC** do not give any scope to the adjudicating authority to embark upon a balance sheet analysis.²⁸

In some of these cases, the **NCLT** has endeavoured to ascertain the underlying intent of the petitioners filing the **insolvency petition**. For instance, two **insolvency petitions** were dismissed by the New Delhi bench because the applicants were shown to be pursuing simultaneous remedies for debt recovery. The **NCLT** viewed this to be a malafide use of the **IBC** framework.²⁹ Similarly, in an **insolvency petition** filed by a debtor, the **NCLT** suspected ulterior motives on the part of the debtor on the basis that the debtor had not, prior to filing the **insolvency petition**, attempted to collect their receivables.³⁰

The purport of these orders seems to be that an **insolvency petition** filed

²⁸See CP No. 40/1& BP/NCLT/MAH/2017.

²⁹See IB-39(PB)/2017 and (IB) 22 PB/2017.

³⁰See (IB)-78(ND)/2017.

by a creditor must be backed with an underlying intent to restructure or liquidate the debtor. In other words, the intent of an **insolvency petition** must not be restricted to merely recovering a specific claim.

6.4 Summarising the functioning of the NCLT under the IBC

The first look at the functioning of the **NCLT** suggests that the **NCLT** is able to deliver on the role of adjudication under the **IBC**, in contrast to the concerns that were voiced during the design of the **IBC** and the subsequent discussions about the difficulty of implementing adjudicating capacity rapidly.

The present evidence is significantly different from the long delays and pendencies that have been recorded in insolvency cases at the **Debt Recovery Tribunal (DRT)** under the previous regime (Regy and Roy 2017). However, while the current functioning of the **NCLT** has countered expectations from prior insolvency cases, there are gaps that are visible between the functioning of the **NCLT** under the **IBC** and what is expected under the law.

That there are gaps is seen both in the empirical analysis on whether the **NCLT** is able to deliver judgements within the timelines required under the law, and whether the judgements are in keeping with the role visualised under the law.

While the sections above present the gaps between what is required under the law and what is delivered by the **NCLT**, there is a common theme that runs through all the above which must ideally become the first and immediate stage of reforms for the insolvency and bankruptcy regime: standardisation and improvement in information that is recorded in every **NCLT** order issued.

In part, this must become part of the rules of procedure at the **NCLT** and the **NCLAT**. In part, this must be translated into implementing the proposal of an administrative support system for the adjudicating bodies under the **IBC** and indeed, the Indian judicial system as a whole, as described in Section 4.2.4 of the Bankruptcy Law Reforms Committee 2015. Such a system will help to reduce the present idiosyncrasies that arise across **NCLT** and **NCLAT** orders, improve the quality of data that feedback into improving the insolvency and bankruptcy process and sharpen the efficiency of the insolvency and bankruptcy reforms.

7 Policy recommendations for data management under the IBC

In addition to the insights on the impact of the IBC on the behaviour of stakeholders and the functioning of the adjudicating institutions, the work of this paper hold insights for the organisation and management of data on insolvency and bankruptcy cases under the IBC.

First, there is as much qualitative as there is quantitative information in these cases that can be used to understand the impact of the reforms as well as how to keep the framework malleable. In accessing such information, the manner in which information is organised can be increased or restricted in its accessibility. Restrictions are often subtle but have negative externalities for the entire system. Not only do they hinder research and productive assessments but also render institutions incapable of being monitored and re-designed on the basis of performance oriented data.

At present, the orders of the NCLTs are not text search-able or machine readable. This feature is regressive in a day and age when openness, transparency and easy access is being aggressively demanded of public institutions all around the world.

As a consequence, it becomes extremely expensive for a third party to identify the milestones in the life cycle of a given case. For example, data regarding important milestones such as

- when was the insolvency petition filed;
- when did it first come up for hearing;
- if it did not come up for hearing as scheduled, the reason for such lapse;
- number of interim orders passed;
- number of hearings before the final hearing or the number of final hearings

is simply absent or organised in a manner that does not yield itself to research or analysis. In the current scheme of the organisation of public data by the NCLT, we have been able to observe the life cycle of very few cases (as is presented in Table 7).

These problems can be readily resolved if there are standard formats that are adopted for basic case data. It would be extremely beneficial if every order, at the start, has certain compulsory fields which are applicable across every kind of case, and which are necessary to allow an assessment of the law and the performance of the institutions under the law. Some examples of such fields are illustrated in the dataset created in this paper.

A standard format will also reduce variation in the basic quality of the order. While some orders have all the basic necessary information, others commonly have typographical errors and suffer from excessive linguistic complexities that render them virtually incomprehensible by a common man. The standard format need not restrict the freedom of the adjudicator nor impose structure of the flow of the judgement. Rather, it addresses the notion of the basic information that adds to every judgement that is published. Such a basic format should become the norm for all the institutions under the **IBC**, with all information published having a common form and a standard format with minimum basic information published by each institution.

In order for research and data input to be effectively used in the continuous and effective monitoring of institutions, the design for data management and publication must be improvised. This has ramifications on the continuous assessment or monitoring of the **IBC** itself, as well as the credit markets of India.

8 Conclusion

While India has witnessed the enactment of a plethora of laws, continuous monitoring of the performance of these laws and the institutions themselves has been rare and difficult.

In this paper, we undertake the assessment of one such law, the **IBC**, which as enacted, implies structural changes for all stakeholders in the form of new incentives driving their interactions and new institutions that govern this interaction. Further, this is a law which provides immense scope for a factual analysis of its effectiveness. This paper identifies the insolvency case orders published by the **NCLT** as the first available source of factual observations that can be systematically collected in a standardised format about the working of the **IBC**.

At the first stage of this exercise, we run into barriers in the form of the lack of a standardised format for the orders which means that there is a high variation in the information available from each order, and the lack of a research ready form of access of information which makes the information opaque to comprehensive research efforts. As a consequence of these barriers, measuring the effectiveness and working of the law, is still vulnerable to speculation and subjective analysis. However, both these are barriers that can be readily solved so that the work of independent researchers, academic institutions and the civil society at large can be facilitated.

The need for such work finds support in the preliminary performance measurement exercise described in the analysis in Sections 5 and 6. These

empirical analyses, though preliminary, indicate that the **IBC** is likely to have a structural change in the behaviour of economic agents, as well as the areas where the **NCLT** functions well as the adjudicator under the **IBC** and where gaps are emerging which need to be fixed.

As the insolvency cases grow, this data will increase in scope and size, and will hopefully fuel many research questions on the behaviour of economic actors as well as institutions with which they interface, and will hopefully become the source of the next set of reforms based on systematic data-backed analysis.

A Key to the fields in the insolvency dataset

Table 11 Description of data fields in the database

The table below describes the different fields captured in the NCLT insolvency case dataset, up to 15th May, 2017. For the fields which are categorical variables, an exhaustive list of sub-categories is mentioned in the last column.

For character, date and integer fields, an example or the format of reporting data is mentioned.

	Field	Data type	Formats or Sub-categories
1	Case Number	Character	Eg: CP(IB)/19/7/HDB/2017
2	Bench	Factor [9]	New Delhi bench, Mumbai bench, Hyderabad bench, Allahabad bench, Ahmedabad bench, Kolkata bench, Chennai bench, Bengaluru bench, Chandigarh bench.
3	Who filed?	Factor [3]	Corporate debtor, Creditor, Not available.
4	Type of creditor	Factor [3]	Operational creditor or Financial creditor, Not available.
5	Type of Operational Creditor	Factor [10]	Bank, Decree holder, Employee, Franchiser, NBFC, Property buyer, Service provider, Supplier, Not available.
6	Type of Financial Creditor	Factor [10]	Bank, Bond holders, Corporate lenders, Debenture holders, Individual, NBFC, Property buyer, Service provider, Trustee/debenture holder, Not available.
7	Name of the corporate debtor	Character	Eg: "Unigreen Global Private Limited"
8	Amount of debt	Numeric	In INR
9	Secured / Unsecured debt	Factor [5]	Partially secured, Secured, Unclear, Unsecured, Not available
10	Due Date for payment	Character	DD-MM-YYYY or NA
11	Date of Demand Notice	Character	DD-MM-YYYY or NA
12	Date of receipt / service of Demand Notice	Character	DD-MM-YYYY or NA
13	Date of filing in NCLT	Character	DD-MM-YYYY or NA
14	First date of case listing	Character	DD-MM-YYYY or NA
15	Date of final disposal	Character	DD-MM-YYYY or NA
16	Evidence of debt	Character	Eg*: Invoices, Flat purchase agreement, NA
17	Admitted / dismissed	Factor [2]	Admitted or Dismissed
18	Category of reason for dismissal	Factor [7]	Existing dispute, Incomplete application, No demand notice, Not a creditor, Other, Settlement, Time barred
19	Name of the IP	Character	Eg: "Anand Ramchandra Bhatt"
20	URL	Character	http://nclt.c2k.in/OtherNCLT/Publication/principal_bench/2017/Others/3.pdf
21	Appeal	Factor [2]	Yes or No
22	Who appealed?	Factor [5]	Corporate debtor, Financial creditor, Operational creditor, Third party, Not available.
23	Appeal allowed / rejected	Factor [3]	Allowed, Rejected, Withdrawn.

*The list of examples is not exhaustive.

B Count of fields in the insolvency case dataset

#2: Location of bench

	Count
Ahmedabad Bench	9
Allahabad Bench	5
Bengaluru Bench	4
Chandigarh Bench	11
Chennai Bench	1
Hyderabad Bench	3
Kolkata Bench	4
Mumbai Bench	41
New Delhi	32

#3: Who filed?

	Count
Corporate Debtor	26
Creditor	83
Not available	1

#4: Type of creditor

	Count
Financial	20
Operational	63
Not available	1

#5: Type of operational creditor

	Count
Bank	1
Decree holder	1
Employee	5
Franchiser	1
NBFC	1
Property buyer	4
Service provider	19
Supplier	23
Not available	8

#6: Type of financial creditor

	Count
Bank	8
Bond Holders	1
Corporate Lender	1
Debenture holder	1
Individual	3
NBFC	2
Property Buyer	1
Service provider	1
Trustee/Debenture holder	1
Not available	1

#8: Amount of debt

	Count
(0, 500 cr)	90
(500 cr, 1000 cr)	2
(1000 cr, 1500 cr)	1
(1500 cr, 2000 cr)	0
(2000 cr, 2500 cr)	0
(2500 cr, 3000 cr)	1
Not available	16

#9: Secured or unsecured debt

	Count
Partially secured	2
Secured	21
Unclear	2
Unsecured	69
Not available	12

#10: Due date for payment

Month	Count
01	2
02	5
03	2
04	3
06	3
07	1
08	2
09	1
10	1
11	3
12	3
Not available	84

#11: Date of demand notice

Month	Count
01	14
02	13
03	3
04	2
12	1
Not available	77

#12: Date of receipt/service of demand notice

Month	Count
01	6
02	1
Not available	103

#13: Date of filing in NCLT

Month	Count
01	3
02	6
03	9
04	6
Not available	86

#14: First date of case listing

Month	Count
01	9
02	7
03	19
04	15
05	2
Not available	58

#15: Date of final disposal

Month	Count
01	8
02	11
03	26
04	42
05	23

#17: Admitted/dismissed

Count	
Admitted	61
Dismissed	49

#18: Reason for dismissal

Count	
Existing dispute	8
Incomplete application	2
No demand notice	2
Not a creditor	7
Other	23
Settlement	5
Time barred	3

#21: Appeal (Yes/No)

Count	
No	100
Yes	10

#22: Who appealed?

Count	
Corporate Debtor	6
Financial Creditor	1
Operational Creditor	2
Third Party	1
Not available	100

#23: Appeal status

Appeal status	Count
Allowed	6
Rejected	2
Withdrawn	2

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